

Banking

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1 Global Payment Systems & Messaging Infrastructure

1.1 Society for Worldwide Interbank Financial Telecommunications

Core Concept 1.1: Society for Worldwide Interbank Financial Telecommunications

The **Society for Worldwide Interbank Financial Telecommunication (SWIFT)** serves as the standardized financial messaging network for global banking. It is a critical distinction that SWIFT operates **strictly as a messaging network**; it transmits instructions (*payment orders*) between counterparties, while actual cash settlement is processed down the line through correspondent banking networks.

Core Concept 1.2: Business Identifier Codes

The **Business Identifier Code (BIC)**—also referred to as a **SWIFT code**—is an 8- to 11-character alphanumeric string that uniquely identifies a financial or non-financial institution globally. The code is structured into four distinct components to parse geographic and operational details during cross-border routing.

BBBB
Bank Code
CC
Country Code
LL
Location Code
BBB
Branch Code

Component	Functional Significance	Examples
Bank Code	Unique identifier for the primary financial institution or corporate entity. Must consist entirely of alphabetical letters.	CHAS, CITI, KOEX, DEUT, BOFA, WFBI
Country Code	Denotes the home nation of the institution's primary operating license using standard ISO 3166-1 alpha-2 codes .	KR, US, CH, CN, FR, GB, JP
Location Code	Identifies the specific city, state, or operational hub . Can be letters or digits ; if the second character is a '2', it typically designates a test or sandbox environment.	FF, NY, SE, 2L
Branch Code	Optional modifier identifying a precise physical branch or office. If absent, the standard 8-character code assumes a default primary office, often padded with 'XXX'.	500, XXX

Table 1: Business identifier code components

1.1.1 Message Types

Core Concept 1.3: Message Types

Traditional SWIFT messages are structured as highly formatted text-based **Message Type (MT)** strings, parsed using a three-digit numerical sequence. The first digit—the hundreds place—categorizes the **primary transaction sector or asset class** involved in the message exchange (*Table 2*). Sub-categories (*the tens and units places*) further drill down into the specific function of the message, such as initiation, confirmation, or structural notifications.

However, the contemporary financial infrastructure is transitioning to the XML-based **ISO 20022 (MX) format** (*Core Concept 1.6*), allowing for richer data blocks, granular tracking, and more robust compliance screening.

Category	Functional Area
MT 1XX	Customer Payments & Cheques
MT 2XX	Financial Institution Transfers
MT 3XX	Treasury Markets (FX & Derivatives)
MT 4XX	Collection & Cash Letters
MT 5XX	Securities Markets
MT 6XX	Precious Metals & Commodities
MT 7XX	Documentary Credits & Guarantees
MT 8XX	Travellers Cheques
MT 9XX	Cash Management & Status

Table 2: SWIFT Message type categories

Among these message types, a small subset is of particular relevance to retail customer actions.

Core Concept 1.4: Active Liquid Transfers (MT101, MT799, MT103, MT199)

An international wire transfer follows a clear progression of instructions across the SWIFT network.

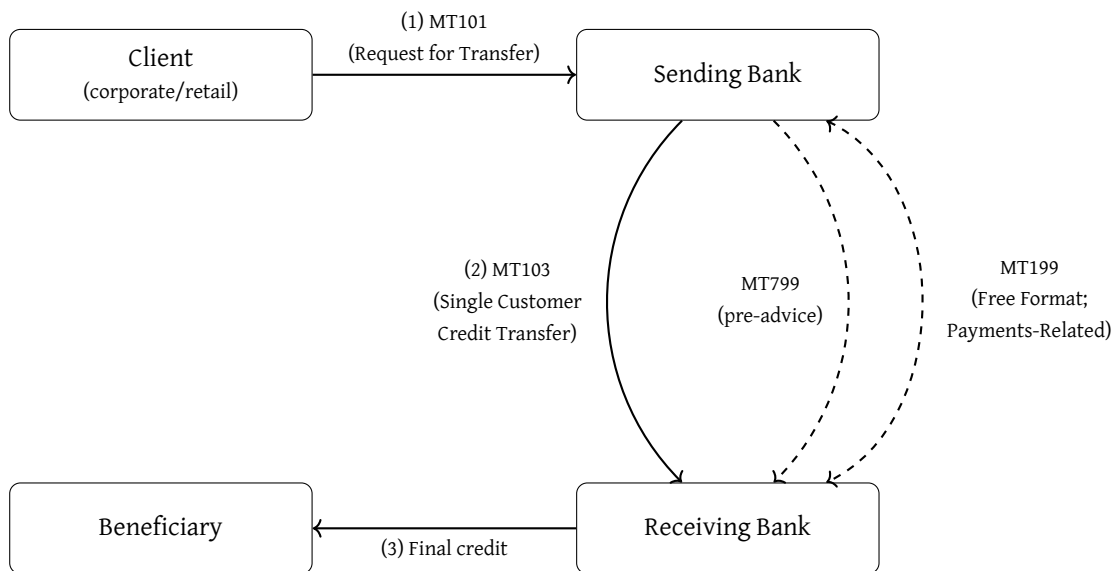


Figure 1: Overview of the MT101, MT799, MT103, and MT199 message flow in an active liquid transfer

(a) Initiation: MT101, Banking Interfaces, MT799

The initiation phase is traditionally governed by the **MT101 (Request for Transfer)**, a secure **client-to-bank mechanism** that allows a corporate or institutional account holder to instruct their bank to debit (*deduct*) funds and execute an outbound transfer. The **MT101 is not required for every wire**; its absence

simply indicates that initiation occurred through alternative channels, such as a bank's web portal, a mobile application, or a direct host-to-host API connection.

- **Corporate treasuries** managing global, industrial-scale liquidity often employ MT101 messages to initiate liquid transfers because they provide a **standardized interface** to process thousands of payments across multiple jurisdictions, currencies, and banking institutions. Additionally, this framework facilitates enhanced administrative oversight and stricter internal controls.
- **Retail customers** rarely initiate liquid transfers via an MT101. Aside from high-net-worth individuals, family offices, or specialized entities with institutional banking connections, the vast majority of consumers utilize standard web portals or mobile applications. While these consumer interfaces offer **greater convenience**, they lack the scalability and automation capabilities utilized by corporate treasuries.

While setting up a MT101 framework is highly effective for repetitive, structured transfers, it is inefficient for one-time, high-value transactions. In these scenarios, an **MT799 (Free Format Message; Trade-Related)** is optionally used as an authenticated **bank-to-bank pre-advice**, deployed prior to the movement of capital to **verify the creditworthiness or funds availability of the sending party**. Importantly, the MT799 functions purely as an **optional communication tool** that never transfers liquid funds or substitutes for a formal payment initiation order.

(b) **Transfer: MT103**

Once the bank receives instructions—whether via online interfaces or an MT101 file—and any pre-deal advisories are finalized, the workflow shifts to the actual movement of capital via the **MT103 (Single Customer Credit Transfer)**. The MT103 serves as the primary execution mechanism of the global banking ecosystem, conveying the **explicit instruction to transfer liquid funds across borders** to the beneficiary's institution. It maps out essential accounting variables, compliance data, and intermediary routing, functioning as the **legally binding proof of payment** that settles the underlying financial obligation.

(c) **Support: MT199**

Throughout this lifecycle, the **MT199 (Free Format Message; Payments-Related)** functions as a flexible, unformatted text channel. It is primarily utilized for **post-payment support**—such as correcting beneficiary name typos, clarifying account details, or supplying regulatory tracking data—though banks may also exchange MT199 messages prior to an MT103 **to resolve operational details or compliance ambiguities**. Ultimately, it provides the narrative flexibility required to settle queries without rejecting or delaying the underlying transfer.

Core Concept 1.5: Bank Draft Settlement Pathway (MT110)

When an international payment is settled using a **physical negotiable instrument**—such as a bank draft or check—rather than a direct wire transfer, the SWIFT network provides an advice mechanism to validate the paper-based transaction electronically.

The process begins when a client requests a cross-border draft or check from the local institution holding the funds to be transferred, referred to as the **Drawing Bank**. This bank issues a **physical, high-security paper bank draft** made out to the **foreign beneficiary**, which the client then mails or couriers to the recipient overseas. At the same time, the Drawing Bank sends an **MT110 (Advice of Cheque)** message through the SWIFT network to the foreign institution that will ultimately receive the funds, known as the **Paying Bank**. This message functions as a secure electronic preview of the physical instrument, specifying the check number, amount, currency, issuance date, and beneficiary identity in advance.

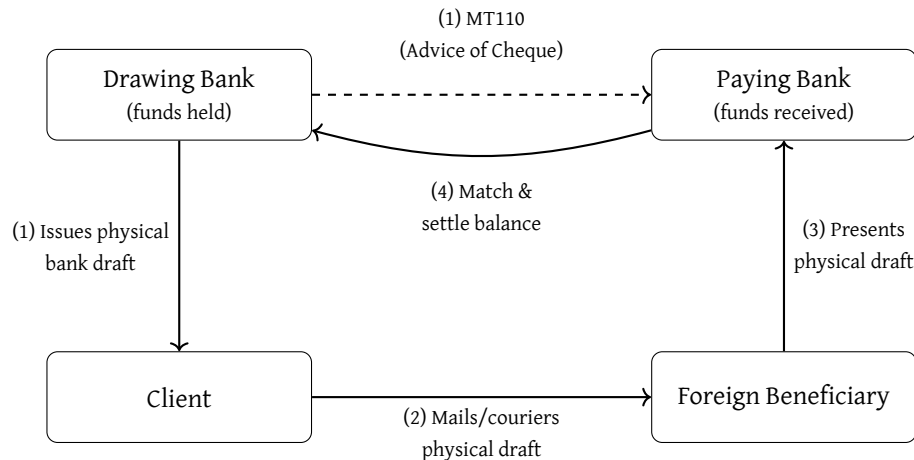


Figure 2: Overview of the MT110 Advice of Cheque process for validating a physical negotiable instrument in cross-border settlement

Once the beneficiary presents the physical check to the Paying Bank, the bank compares its details against the information already received in the MT110. If the two match exactly, the Paying Bank safely liquidates the instrument, pays the beneficiary, and settles the corresponding balance with the Drawing Bank.

While structurally identical, a "Banker's Draft" is the official term used in the UK and Commonwealth countries, whereas "Bank Draft" is the standard official terminology used in the United States and Canada.

1.2 ISO 20022

Core Concept 1.6: ISO 20022

ISO 20022 represents the **modern** global standard for financial messaging, transitioning from legacy, character-restricted SWIFT MT text lines to rich, structural **XML-based schemas**. By introducing highly structured, granular, and uniform data elements, ISO 20022 makes cross-border payments faster, safer, and easier to process worldwide.

As of July 2026, the global financial system is actively transitioning from legacy MT messaging to the new ISO 20022 standard.

2 Correspondent Banking Mechanics

2.1 Account Relationships

Core Concept 2.1: Correspondent Banking Relationships

A **correspondent banking relationship** is an arrangement where one bank (*the correspondent*) provides banking services to another bank (*the respondent*) in a country where the respondent doesn't have a physical presence. This allows local customers to send money, convert currencies, cash checks, and accept deposits **internationally** via **Nostro/Vostro accounts** (Core Concept 2.2).

Core Concept 2.2: Nostro & Vostro Accounts

Nostro & Vostro accounts form the essential bilateral ledger framework required to execute international **correspondent banking transactions** (Core Concept 2.1).

From the perspective of a domestic institution, a **Nostro account** ("our money held by you") is a foreign-currency cash balance maintained on deposit at a correspondent bank abroad, whereas a **Vostro account** ("your money held by us") is a domestic-currency ledger balance maintained on behalf of a foreign counterparty bank to clear local financial transactions.

For instance, consider Bank A (in New York) opening a British Pound (£) bank account physically located at Bank B (in London).

- From Bank A's perspective (New York), that account is a **Nostro account** → "That is our money held over at your bank in London"
- From Bank B's perspective (London), that exact same account is a **Vostro account** → "That is your money held here at our bank in London"

2.2 Transaction Routing

Core Concept 2.3: Direct Transfer

A **direct transfer** of money refers to a transfer of a money from a sending bank to a receiving bank **without the participation of a intermediary bank**. This mechanism takes place when the sending bank maintains an established, active **Nostro account** (Core Concept 2.2)—and thus a **correspondent banking relationship**—with the receiving bank, or vice versa.

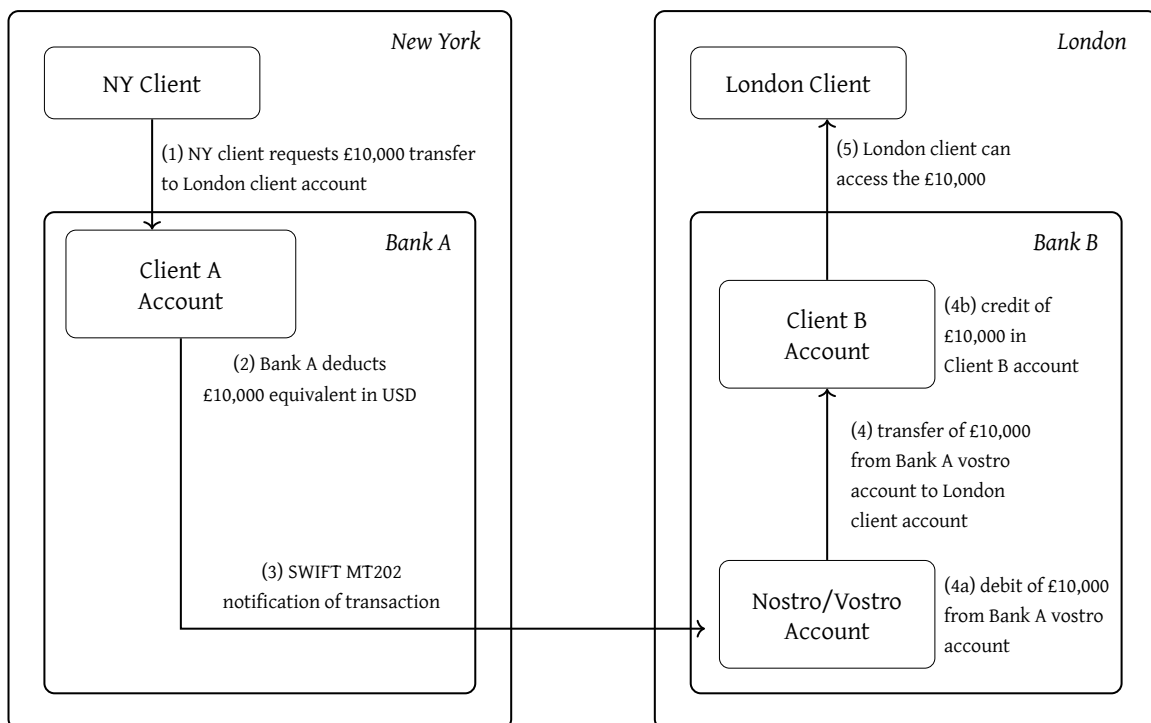


Figure 3: Direct transfer of £10,000 from a Bank A client in New York to a Bank B client in London

As shown in Figure 3, using the same example set in Core Concept 2.2, if a Bank A client in New York wishes to send £10,000 to a Bank B client in London, Bank A deducts the equivalent amount in USD from the New York client's account. Correspondingly, via the SWIFT network, Bank A notifies Bank B of the transaction, instructing Bank B to debit £10,000 from Bank A's Vostro account (*referred to as a Nostro account from Bank A's perspective*) and credit £10,000 to the London client's account.

This direct account architecture completely eliminates the processing delays, variable transaction fees, and operational routing errors associated with multi-correspondent transit, allowing for the **instantaneous debiting and crediting** of reciprocal accounts across a clean ledger connection.

Core Concept 2.4: Intermediary Banking Transfer

An **intermediary banking transfer** refers to a cross-border transaction executed between an originating bank and a beneficiary bank that do not maintain a direct **correspondent banking relationship** (*Core Concept 2.1*). To bridge this structural gap, the transaction is routed through a third-party **intermediary bank** that holds concurrent Nostro and Vostro account relationships with both participating institutions, acting as a centralized clearing and liquidity bridge.

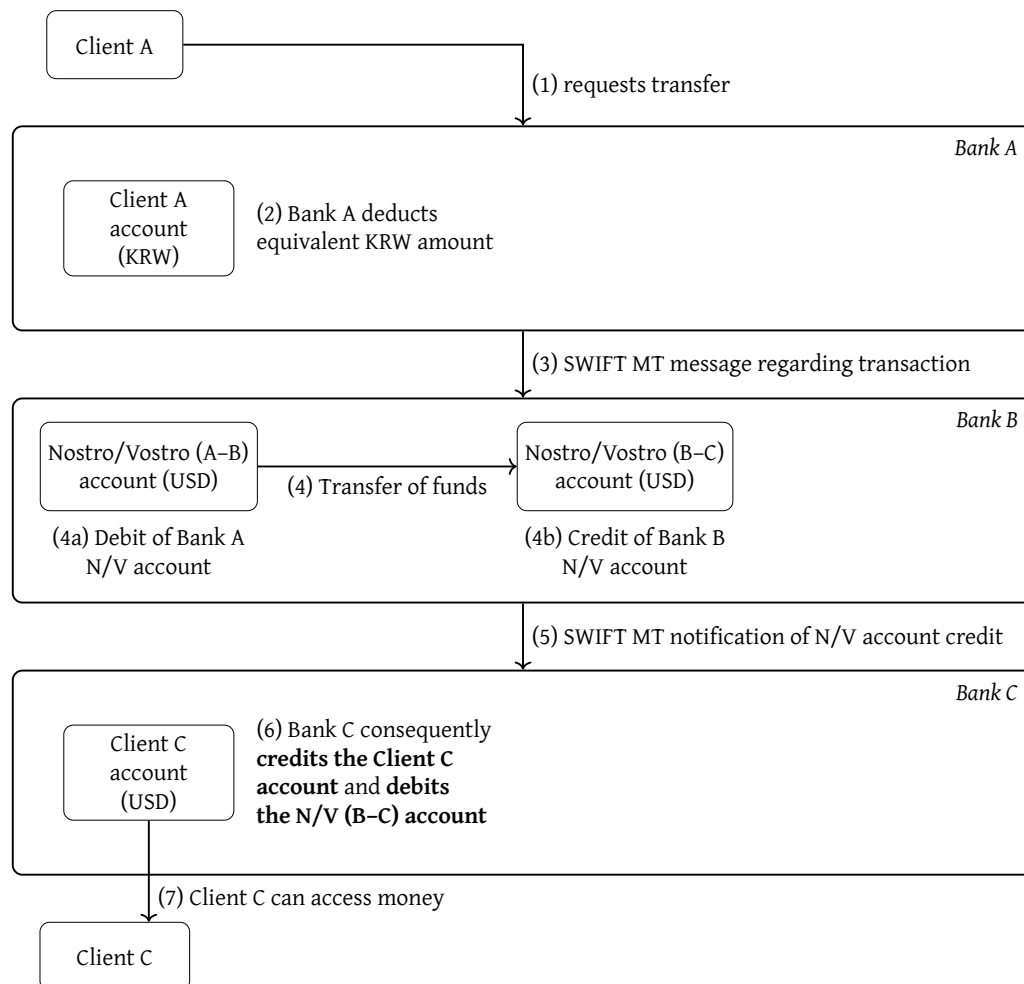


Figure 4: Intermediary banking transfer from Client A (*Bank A, KRW*) through Bank B's nested Nostro/Vostro accounts to Client C (*Bank C, USD*)

As illustrated in Figure 4, when a client at Bank A (*Seoul*) initiates a USD transfer to a beneficiary at Bank C (*Ohio*), Bank A first debits the local client's account. Because no direct accounting channel exists between Seoul and Ohio, Bank A transmits a SWIFT instruction to the intermediary, Bank B (*New York*). Upon receipt, Bank B executes a dual bookkeeping entry within its own ledger: it debits Bank A's Vostro account to absorb the funds and simultaneously credits Bank C's Vostro account. Following this internal ledger adjustment, Bank B transmits a final payment notification to Bank C. Bank C then updates its own balance sheet by debiting its Nostro account held at Bank B—thereby increasing its foreign assets—and concurrently crediting the local Ohio beneficiary's account.

This multi-tiered accounting sequence ensures the safe and traceable movement of funds across disconnected financial jurisdictions, though it **introduces cumulative processing fees, settlement queues, and multi-layered compliance screening**.

3 Regulatory Frameworks

Core Concept 3.1: Twin Peaks Framework

The **Twin Peaks framework** is a structural model of financial regulation that splits oversight responsibilities between two distinct, specialized authorities.

- The **prudential peak** exclusively focuses on maintaining the stability and safety of the broader financial system within its jurisdiction via capital adequacy, liquidity buffers, stress testing, and risk management.
- The **conduct peak**, on the other hand, protects consumers and preserves market integrity through enforcing anti-fraud policies, fair lending practices, and business transparency.

While there exists a widespread adoption of the Twin Peaks framework across several nations, such as South Africa (Subsection 3.3) and the United Kingdom (Subsection 3.4), some nations—most notably the United States (Subsection 3.1)—utilize a more fragmented approach.

3.1 United States

3.1.1 Federal Reserve System

Core Concept 3.2: Federal Reserve Bank (FRB)

The **Federal Reserve Board (FRB)** serves as the governing body of the U.S. **Federal Reserve System**. Comprising seven members known as **Governors**—one of whom is designated **Chairman** and serves as the Board's leader—the FRB functions as the nation's apex monetary authority and principal systemic banking regulator. Beyond conducting monetary policy through **interest rate setting** (Core Concept 5.7) and **open-market operations** (Core Concept 5.5), the Federal Reserve also serves as lender of last resort via the **discount window**—an official lending facility that extends short-term credit directly to eligible commercial banks—and maintains oversight of **global systemically important banks (GSIBs)**, whose failure would pose substantial risk to the U.S. financial system.



Figure 5: Jerome Powell, Chairman of the U.S. Federal Reserve Board from February 2018 to May 2026

Core Concept 3.3: Consumer Financial Protection Bureau (CFPB)

The **Consumer Financial Protection Bureau (CFPB)** is an independent regulatory bureau housed within the Federal Reserve System, charged with overseeing **consumer-facing activities** across the financial sector. Created to centralize oversight, the CFPB consolidated consumer protection authorities previously scattered across seven different federal agencies in 2011. It supervises retail banking operations as well as non-bank entities like mortgage lenders, credit reporting agencies, and debt collectors. By enforcing anti-predatory mandates, it ensures that consumer financial markets remain fair and transparent. Crucially, to **preserve its regulatory independence**, the CFPB is **funded directly by the Federal Reserve** rather than through the traditional congressional process, a unique structure recently upheld by the U.S. Supreme Court in 2024.



Figure 6: U.S. Consumer Financial Protection Bureau

Among the CFPB's principal enforcement tools is its broad statutory authority to police **Unfair, Deceptive, or Abusive Acts or Practices (UDAAP)**, a framework established under the Dodd-Frank Act in the aftermath of the 2008 financial crisis. This allows the bureau to act against harmful consumer practices **even if a specific, pre-existing rule has not been technically violated**.

It is also important to note that the CFPB's direct authority is **limited to civil enforcement** (such as levying monetary penalties or ordering consumer reimbursement). However, the bureau routinely coordinates with and refers cases to the **Department of Justice** when it uncovers willful criminal conduct, such as fraud, during its investigations.

3.1.2 Department of Treasury

Core Concept 3.4: Office of Comptroller of the Currency (OCC)

The **Office of the Comptroller of the Currency (OCC)** is an independent bureau within the U.S. Department of the Treasury responsible for chartering and regulating **federally chartered institutions**, which comprise the following categories.

- **National Banks:** Commercial banks operating under a national charter.
- **Federal Savings Associations:** U.S. financial institutions federally licensed to accept deposits and provide home loans.
- **Federal Branches of Foreign Banks:** U.S.-based operating branches of foreign banking organizations that elect a federal license.



The OCC maintains a nationwide staff of bank examiners empowered to conduct **on-site, rigorous audits** of national banks on a regular basis when deemed necessary.

Figure 7: U.S. Office of Comptroller of the Currency

Additionally, the OCC governs microprudential risk profiles and enforces compliance mandates, thereby indirectly prompting adjustments to individual banks' **daily USD settlement capacity**—whether expansions or reductions—through subsequent Federal Reserve actions tied to an institution's balance-sheet health and intraday liquidity risk. Through this supervisory framework, the OCC **exerts indirect oversight over international USD flows**, since it regulates the **U.S. national correspondent banks** (intermediary banks) through which cross-border USD transfers must pass to achieve execution.

Core Concept 3.5: Financial Crimes Enforcement Network (FinCEN)

The **Financial Crimes Enforcement Network (FinCEN)** is a bureau of the U.S. Department of the Treasury **Office of Terrorism and Financial Intelligence** that serves as the nation's primary **Financial Intelligence Unit (FIU)**. Its central mission is to safeguard the financial system from illicit use, combat money laundering, counter terrorist financing, and promote national security. FinCEN achieves this by exercising its statutory authority to administer the **Bank Secrecy Act (Core Concept 4.2)**, which forms the foundation of the U.S. **anti-money laundering (AML)** and **countering the financing of terrorism (CFT)** legal architecture.

Operationally, FinCEN functions through a dual mandate of regulation and intelligence support. As a primary regulator, it establishes rules that financial institutions must follow regarding recordkeeping, reporting, and beneficial ownership disclosure, and it **holds the authority to levy significant civil penalties for non-compliance**.

Concurrently, as a supporting intelligence hub, FinCEN **does not possess criminal arrest powers**; instead, it collects and analyzes massive volumes of financial data—such as **Suspicious Activity Reports (SARs)**—to generate actionable intelligence that is subsequently disseminated to domestic law enforcement and international partners for criminal prosecution.



Figure 8: U.S. Financial Crimes Enforcement Network

Core Concept 3.6: Office of Foreign Assets Control (OFAC)

The **Office of Foreign Assets Control (OFAC)** is an administrative enforcement agency within the U.S. Department of the Treasury **Office of Terrorism and Financial Intelligence** that administers and enforces economic and trade sanctions based on U.S. foreign policy and national security goals. OFAC jurisdiction and compliance standards reach out to the following entities.

- All U.S. persons (citizens, permanent residents, U.S.-incorporated entities) regardless of where they are in the world
- Anyone inside the United States
- Any transaction that clears through the U.S. financial system

OFAC enforces several sanctions programs that generally either establish broad bans on an entire country or geographic region (*Cuba, Iran, North Korea, etc.*) or specific individuals, entities, or economic sectors (*Kim Jung Un, Osama Bin Laden, etc.*).

To execute these sanctions, OFAC publishes and maintains public **compliance lists**—namely the Specially Designated Nationals (SDN) list—forcing global banking institutions utilizing the USD clearing network to block or freeze transactions involving targeted foreign regimes, terrorists, and international criminal syndicates. Through this, OFAC is also able to **directly impose daily USD settlement limits and/or sanctions**. The violating of these regulations leads to massive fines and also federal prison time if the violation is criminal.

(a) Case Study: GL X & GL X1

*Recently, OFAC demonstrated how swiftly it can utilize sanctions as a geopolitical tool through its handling of **General License X (GL X)** and **General License X1 (GL X1)** during the 2026 conflict with Iran. On June 21, 2026, OFAC issued*



Figure 9: U.S. Office of Foreign Assets Control

GL X, which temporarily rolled back longstanding sanctions to authorize the production, sale, and delivery of Iranian-origin crude oil and petrochemicals, even allowing direct payments in USD. However, following renewed hostilities—specifically, reports of three tankers being struck near the Strait of Hormuz in early July—OFAC abruptly reversed this relief on July 7, 2026.

The agency superseded the authorization with *GL X1*, which immediately **prohibited any new oil transactions** and instituted a compressed 10-day wind-down period ending on July 17, 2026, to allow entities to close out existing deals. Furthermore, *GL X1* revoked the direct USD payment authorization, mandating that any funds owed to blocked persons during this wind-down phase be deposited into blocked, interest-bearing accounts within the U.S.. This sequence provides a clear case study of OFAC’s ability to instantly tighten economic blockades in response to shifting military realities on the ground.

3.2 Hong Kong

Core Concept 3.7: Hong Kong Monetary Authority (HKMA)

The **Hong Kong Monetary Authority (HKMA)** is the principal statutory regulator of Hong Kong’s banking and payment infrastructure, exercising supervisory authority derived primarily from the Banking Ordinance (Cap. 155) to promote systemic stability and safeguard depositors. Operating under delegated authority from the Financial Secretary, the HKMA maintains exclusive supervisory jurisdiction over Hong Kong’s banking system.

Operationally, the HKMA enforces **prudential risk standards**—including capital adequacy rules (*Basel III framework, a regulatory measures developed in response to the 2008 Financial Crisis*), liquidity coverage requirements, and exposure limits—through off-site reviews and **on-site statutory examinations**. These complementary supervisory channels allow the HKMA to monitor authorized institutions on both a continuous and periodic basis.

The HKMA wields extensive supervisory and statutory enforcement powers: it enforces strict “fit and proper” criteria for bank controllers and chief executives, investigates regulatory breaches under the **Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO)**, issues public reprimands, removes bank officers, and levies **substantial civil monetary penalties**. Furthermore, under the **Financial Institutions (Resolution) Ordinance (FIRO)**, the HKMA acts as the designated **Resolution Authority** for banking institutions, possessing extraordinary statutory powers to order debt bail-ins, asset transfers, or structural restructurings to prevent systemic contagion without reliance on public bailouts.



Figure 10: Hong Kong Monetary Authority

Core Concept 3.8: Hong Kong Police Force Commercial Crime Bureau (HKPF CCB)

The **Commercial Crime Bureau (HKPF CCB)** is a specialized investigative arm of the **Hong Kong Police Force** tasked with combating sophisticated **white-collar financial crimes**. The CCB targets large-scale corporate fraud, counterfeit currencies, systemic money laundering syndicates, and technology-driven financial scams, collaborating directly with local banking compliance officers and international law enforcement networks.

Core Concept 3.9: Financial Intelligence Evaluation Sharing Tool (FINEST)

The **Financial Intelligence Evaluation Sharing Tool (FINEST)** is a bank-to-bank information-sharing platform launched in June 2023 through a joint initiative by the **HKPF** (*Core Concept 3.8*), the **HKMA** (*Core Concept 3.7*), and the Hong Kong Association of Banks (**HKAB**). Designed to strengthen Hong Kong's AML and counter-fraud capabilities, FINEST allows participating institutions to exchange real-time intelligence on suspicious transactions and complex financial crime schemes. Operating under strict purpose-bound safeguards and data privacy regulations, the platform enables **targeted, event-driven information exchanges to intercept illicit proceeds** without granting authorities or banks unrestricted access to standard customer data.

3.3 South Africa

Core Concept 3.10: South African Reserve Bank (SARB)

The **South African Reserve Bank (SARB)** functions as the central bank of the Republic of South Africa, acting as the **prudential supervisor** within the nation's formal Twin Peaks regulatory model. The SARB is legally mandated to achieve **price stability** via inflation targeting, manage national foreign exchange reserves, and oversee the clearing and settlement operations of the national payment system.

Core Concept 3.11: Financial Sector Conduct Authority (FSCA)

The **Financial Sector Conduct Authority (FSCA)** acts as the **market conduct regulator** in South Africa's Twin Peaks framework. Operating independently from the SARB, the FSCA oversees the business practices of financial institutions, investment funds, and market intermediaries, ensuring fair treatment of financial customers, promoting market efficiency, and reducing systemic financial crime.

3.4 United Kingdom

Core Concept 3.12: Financial Conduct Authority (FCA)

The **Financial Conduct Authority (FCA)** operates as the independent **conduct regulator** for financial services firms and financial markets across the United Kingdom. The FCA enforces rules regarding corporate governance, treating customers fairly, and market abuse, with structural authority to fine institutions, reverse toxic transactions, and remove professional financial licenses.

Core Concept 3.13: Prudential Regulation Authority (PRA)

The **Prudential Regulation Authority (PRA)**, structured as a subsidiary arm of the Bank of England, serves as the **prudential supervisor** within the UK's financial system. The PRA establishes capital and liquidity adequacy frameworks for banks, building societies, credit unions, and systemic insurance firms, focusing entirely on preventing individual firm insolvencies from cascading into broader macroeconomic contagion.

4 Criminal Enforcement & Litigation

4.1 Governing Statutes

Core Concept 4.1: Racketeer Influenced and Corrupt Organizations Act (RICO)

The **Racketeer Influenced and Corrupt Organizations Act (RICO)**—18 U.S.C. §§1961–1968—is a powerful federal statute established in 1970 originally designed to prosecute mobsters and organized crime syndicates. RICO allows law enforcement and private litigants to **target the overall ongoing criminal enterprise**—and its leadership—**rather than just individual low-level participants committing standalone crimes**.

To establish a RICO violation, a prosecutor or plaintiff must prove the four following core elements.

- (a) **An Enterprise:** A legal entity (*e.g., a corporation, bank, partnership*) or an “association-in-fact” enterprise (*a group of individuals or companies associated together for a common purpose*).
- (b) **A Pattern of Racketeering Activity:** At least **two predicate acts** of racketeering committed within a 10-year period.
- (c) **Qualifying Predicate Acts:** Specific statutory offenses enumerated in 18 U.S.C. §1961(1). In financial contexts, these primarily include the following items.
 - Mail Fraud (18 U.S.C. §1341)
 - Wire Fraud (18 U.S.C. §1343)
 - Bank Fraud (18 U.S.C. §1344)
 - Money Laundering (18 U.S.C. §§1956 & 1957)
 - Financial Institution Fraud
 - Bribery, extortion, and obstruction of justice
- (d) **Nexus/Direct Harm:** A direct causal connection between the racketeering activity and the injury to plaintiff’s business or property.

In the context of banking, RICO allows prosecutors to hold **senior executives and corporate entities** civilly and criminally liable for patterns of racketeering activity.

Core Concept 4.2: Bank Secrecy Act (BSA)

The **Bank Secrecy Act (BSA)**—codified across multiple U.S. Codes—is the foundational anti-money laundering (AML) statute in the United States. Enacted in 1970, it requires financial institutions to assist U.S. government agencies in detecting and preventing money laundering, tax evasion, and terrorist financing.

To comply with the BSA, financial institutions are strictly mandated to implement the following requirements.

- (a) **Anti-Money Laundering (AML) Program:** Institutions must establish robust internal controls, designate a compliance officer, and conduct regular independent testing and employee training.
- (b) **Customer Identification Program (CIP):** Often referred to as “**Know Your Customer**” (KYC), this requires banks to thoroughly verify the identities of clients opening accounts.
- (c) **Suspicious Activity Reports (SARs):** Institutions must monitor for and file reports on transactions that lack an apparent lawful purpose or signify potential illicit activity.
- (d) **Currency Transaction Reports (CTRs):** The mandatory reporting of single or aggregated cash transactions that exceed \$10,000 within a 24-hour period.

In corporate prosecutions, the government frequently targets institutions for **willfully failing to maintain an effective AML program**, which can result in massive criminal fines, civil penalties, and deferred prosecution agreements. *The 2012 HSBC AML incident (Core Concept 6.3) serves as an illustrative case study of institutional AML failure.*

Core Concept 4.3: International Emergency Economic Powers Act (IEEPA)

The **International Emergency Economic Powers Act (IEEPA)**—50 U.S.C. Chapter 35—is a federal law enacted in 1977 that grants the President broad authority to regulate international commerce and freeze foreign assets in response to an “*unusual and extraordinary threat*” to the United States **during peacetime**.

IEEPA serves as the primary statutory framework for U.S. economic sanctions programs, which are primarily administered by the **Office of Foreign Assets Control (Core Concept 3.6)**, and makes it a federal crime to **willfully violate, attempt to violate, or conspire to violate** any license, order, or regulation issued under IEEPA. Financial institutions face severe liability if they process cross-border payments or strip wire data on behalf of sanctioned entities.

Core Concept 4.4: Trading with the Enemy Act (TWEA)

The **Trading with the Enemy Act (TWEA)**—50 U.S.C. §§4301–4341—is a **wartime statute** established in 1917 that restricts trade with hostile nations. While largely superseded by IEEPA for modern peacetime sanctions, TWEA remains actively enforced against specific embargoed countries, most notably Cuba.

The statute imposes strict prohibitions and grants the executive branch extensive economic powers. In global banking, TWEA violations frequently occur when international banks route USD transactions through the U.S. financial system on behalf of entities located in comprehensively sanctioned TWEA jurisdictions.

4.2 Key Parties

Core Concept 4.5: United States Department of Justice (DOJ)

The **United States Department of Justice (DOJ)** is the federal executive department responsible for enforcing federal laws, representing the U.S. government in legal matters, and administering the federal prison system.

Headquartered in Washington, D.C. (“*Main Justice*”), the DOJ is led by the **Attorney General (AG)**, a Cabinet member who serves as the chief law enforcement officer of the United States. Reporting directly to the Attorney General are the **Solicitor General**, who directs litigation before the Supreme Court, and the **Deputy Attorney General**, who supervises the day-to-day operations of the following branches.



Figure 11: U.S. Department of Justice

- (a) **Litigating Divisions** are specialized branches of federal lawyers headquartered at “Main Justice” in Washington, D.C. They handle prosecutions, litigation, and legal policy in specific subject-matter areas.
- (b) **Federal Law Enforcement Agencies** encompass the FBI, DEA, ATF, and USMS.
- (c) **93 U.S. Attorneys’ Offices**, located throughout the nation, prosecute federal offenses within their respective districts. Within the context of banking and financial crime, the **U.S. Attorney’s Office for the Southern District of New York (SDNY) (Core Concept 4.6)** is the most prominent.

Core Concept 4.6: United States Attorney's Office for the Southern District of New York (SDNY)

The **U.S. Attorney's Office for the Southern District of New York (SDNY)** is a U.S. Attorney Offices under the DOJ (*Core Concept 4.5*) that geographically covers Manhattan, the Bronx, and six northern counties.

Because Manhattan is the financial and media capital of the world, SDNY handles a disproportionate volume of international, financial, and complex criminal cases, making it the preeminent prosecutorial entity for global white-collar financial crime that is categorized into the following specialized divisions.

- (a) **Criminal Division:** Investigates and prosecutes a wide spectrum of federal offenses—including financial fraud, terrorism, cybercrime, public corruption, organized crime, and violent offenses—while managing complex asset forfeiture matters.
- (b) **Civil Division:** Represents the United States in a broad docket of affirmative and defensive civil litigation across various practice areas from case inception through trial and appellate proceedings.
- (c) **White Plains Division:** Investigates and prosecutes federal criminal violations—such as gang activity, drug trafficking, violent crime, and fraud—occurring primarily within Westchester, Rockland, Orange, Putnam, Dutchess, and Sullivan counties.

Core Concept 4.7: Quinn Emanuel Urquhart & Sullivan

Quinn Emanuel Urquhart & Sullivan, LLP is an elite global law firm devoted exclusively to business litigation and arbitration, employing over 1,000 attorneys across 35 worldwide offices. Founded in 1986, the firm maintains a **conflict-free business model** by deliberately foregoing corporate transactional practice (*e.g.* M&A), allowing its trial lawyers to aggressively litigate against major commercial corporations and global banking institutions.

Core Concept 4.8: Grant & Eisenhofer

Grant & Eisenhofer P.A. is a premier plaintiffs' litigation law firm headquartered in Wilmington, Delaware, specializing in institutional investor representation, corporate governance, mass torts, and whistleblower actions. Founded in 1997 by former defense litigators Stuart Grant and Jay Eisenhofer, the firm has recovered over \$30 billion for clients.

5 Private Wealth

Core Concept 5.1: Family Offices

A **family office** is a private wealth management advisory firm established to handle the financial, legal, investment, and personal affairs of **ultra-high-net-worth individuals (UHNWIs)** and their families. These offices generally fall into the three following structural models based on scale, cost, and degree of control.

- (a) **Single Family Offices (SFOs)** are dedicated exclusively to one family, offering absolute privacy, custom control, and bespoke services, but incurs high annual operating costs. Typically, SFOs requires \$100M to \$200M+ in investable net worth to justify the high operating expenses.
- (b) **Multi-Family Offices (MFOs)** are commercial entities serving multiple unrelated wealthy families where the costs and infrastructure are shared across clients. MFOs typically accepts families starting at \$25M to \$50M in assets.
- (c) **Virtual Family Offices (VFOs)** utilize a lean, technology-driven model where a core coordinator or

software platform manages a network of third-party outsourced professionals (CFOs, attorneys, tax advisors).

These family offices often rely on dedicated bank divisions within global financial institutions (*J.P. Morgan's 23 Wall*, *UBS's Global Family and Institutional Wealth (GFIW)*, and *Goldman Sachs' Global Family Office*) to execute asset management processes beyond the reach of their in-house teams, bridging the gap between private wealth management and investment banking.

Because large family offices require capabilities that extend far beyond traditional retail wealth management—such as direct co-investment access, complex structured lending, capital markets execution, and prime brokerage—these specialized divisions treat family offices as institutional counterparties. The result is a symbiotic relationship in which family offices preserve operational independence while gaining access to the balance sheets, proprietary deal flow, and global infrastructure of major investment banks.

6 Chronology of Major Systemic Banking Crises & Institutional Shocks

6.1 Systemic Willful Blindness & Balance Sheet Fractures

Core Concept 6.1: The Herstatt Risk Precedent (1974)

In Progress.

Core Concept 6.2: The BNP Paribas Fund Freezes (2007)

In Progress.

Core Concept 6.3: The HSBC Anti-Money Laundering Scandal (2012)

In December 2012, **HSBC Holdings plc** (London, England) and **HSBC Bank USA, N.A.** entered into a historic five-year **Deferred Prosecution Agreement (DPA)** with the U.S. DOJ (*Core Concept 4.5*) after a massive AML and sanctions-evasion investigation.

In the years preceding the investigation, HSBC engaged in a sustained pattern of willful misconduct, encompassing the following violations.

- **Money Laundering:** HSBC willfully failed to maintain an effective AML program. This systemic failure allowed transnational criminal organizations, including drug cartels, to launder at least \$881 million in illicit proceeds through the U.S. financial system.
- **Sanctions Violations:** The bank knowingly facilitated hundreds of millions of dollars in transactions for customers in comprehensively sanctioned nations, directly violating both the **IEEPA** (*Core Concept 4.3*) and **TWEA** (*Core Concept 4.4*).
- **Deliberate Evasion:** Clients were able to alter or withhold identifying information on cross-border **SWIFT payment messages** (*Core Concept 1.3*) to bypass U.S. sanctions filters. This allowed HSBC to illicitly process USD transactions on behalf of entities in sanctioned jurisdictions, including Iran, Sudan, and Cuba.

To avoid a criminal indictment that could have destabilized the global financial system, HSBC agreed to a massive financial penalty totaling **\$1.921 billion**—the largest bank AML penalty in U.S. history at the time. Of the total fine, \$1.256 billion was paid directly to the U.S. government, serving as a substitute res for the illegal funds that the bank processed. The additional \$665 million was paid as civil fines distributed among federal regulators, including the **OCC** (*Core Concept 3.4*), the **Federal Reserve** (*Core Concept 3.2*), and **FinCEN** (*Core Concept 3.5*).

Under the five-year DPA, the DOJ agreed to defer, and ultimately dismiss, the four-count criminal information against HSBC, provided the bank strictly adhered to the following sweeping remedial measures.

- **Corporate Compliance Monitor:** HSBC was required to retain an **independent monitor** tasked with evaluating the bank's internal controls and certifying its ongoing compliance with U.S. AML and sanctions laws over the five-year probation term.
- **Executive Accountability:** HSBC replaced its CEO, General Counsel, and Chief Compliance Officer. The bank also "*clawed back*" the bonuses of senior executives who oversaw the compliance failures.
- **Structural Overhaul:** The bank fundamentally restructured its global risk profile and exited risky business lines, such as the Banknotes business. Furthermore, HSBC implemented strict bans on U.S. dollar transactions involving sanctioned jurisdictions.

The official DOJ Press Release detailing this incident is available via the following link.

The archived DPA contract is available via SEC EDGAR at the following link.

Core Concept 6.4: The Digital Bank Run on Silicon Valley Bank (2023)

In Progress.

6.2 Deliberate Institutional Fraud & Criminal Enterprises

Core Concept 6.5: The Criminal Enterprise of BCCI (1991)

In Progress.

Core Concept 6.6: The Global LIBOR Manipulation Conspiracy (2012)

In Progress.